

TABLE 6.80 **Results 2021**

	US\$	Percentage
Starting NAV	85,651,541	856.52
Trading result	43,964,142	51.30
Interest income	216,443	0.30
Management fee	1,913,857	2.20
Performance fee	6,212,126	7.30
Net result	36,054,602	42.10
Ending NAV	121,706,143	1217.10

the actual return here, after all fees, is merely 13.3%. All it takes is a reasonable rate of return and time, and both you and your investors will make a lot of money.

We have seen plenty of problems in this chapter, plenty of things that could have done better, could have been improved. This was by no means meant to be a perfect trading strategy, but it still performed really well and would have been perfectly viable. The drawdowns were a little deeper and lasted a little longer than we would have liked, but they were survivable. Had we geared up the risk settings to 11 in an attempt to get rich quickly, any one of those drawdowns would have killed the entire venture.

The 13.3% return over a 20-year period is a very strong result. The strategy used for this chapter can certainly be improved upon, but it was designed to capture the bulk of trend-following returns while keeping very simple rules. To tell you the truth, it was also designed not to be too good. No, not to keep secrets from you, but rather to avoid giving you a false sense of confidence.

It would have been dead simple to make a backtest which performed far better, perhaps even gaining every year throughout these two decades. But what's the point of that? It's just a backtest. I'm trying to teach you something here in this book, and the lesson you should learn is certainly not to copy some backtested rules in a book and start trading.

But what about our own end in this? If investors' money grew from US\$10 million to US\$120 million, how much did we make? Well, there's a reason we work in finance. We made a grand total of US\$17.5 million in management fees. Oh, and I almost forgot, we also made US\$20 million in performance fees.